

8.6

RESERVES & SURPLUS

In this section, we will further analyze Reserves, Surplus, and other equity related items and ask different questions about the same. We need to understand the equity structure and the different instruments in use by the company.

Book Value Growth Rate	34.19%	4.19%	16.17%	7.27%	24.86%	
SGR	40%	70%	53%	41%	19%	34%
EPS growth rate	7%	13%	-4%	21%	1%	
Part of Reserves kept on purpose/ Total Assets	0.43%	0.45%	0.35%	0.44%	0.65%	0.52%
Part of Reserves idle/ Total Assets	69.25%	71.17%	67.40%	68.81%	66.75%	62.24%
Minority Interest/ Total Assets	1.17%	2.67%	3.37%	3.50%	3.31%	2.72%
OCI/ Total Assets	0	0	0	0	0	0

EQUITY

Reserves tied to a specific purpose

Reserves idle

Above items are seen as a ratio of Total Assets. Thus we consider-

- ◇ Part of Reserves tied to a purpose / Total Assets
- ◇ Part of idle Reserves / Total Assets

We need to understand and evaluate the composition of Reserves and Surplus. What different kinds of reserves it contains and how they are changing?